

FIRST ENGROSSMENT

ENGROSSED SENATE BILL NO. 2407

Introduced by

Senators Hogue, Bekkedahl

Representatives Lefor, Vigesaa

1 A BILL for an Act to provide an appropriation to the state historical society for the North Dakota
2 military museum project; to amend and reenact section 55-01-02.1 of the North Dakota Century
3 Code, relating to jurisdiction of the heritage center; to repeal subsection 3 of section 6 of
4 chapter 17 of the 2025 Session Laws, relating to a donation pledge requirement to access
5 funding from the strategic investment and improvements fund; to provide a statement of
6 legislative intent; to authorize a line of credit; to provide for a report; and to provide an effective
7 date.

8 **BE IT ENACTED BY THE LEGISLATIVE ASSEMBLY OF NORTH DAKOTA:**

9 **SECTION 1. LINE OF CREDIT - BANK OF NORTH DAKOTA - APPROPRIATION -**
10 **STATE HISTORICAL SOCIETY - NORTH DAKOTA MILITARY MUSEUM PROJECT -**
11 **DEFICIENCY APPROPRIATION REQUEST - ONE-TIME FUNDING - LEGISLATIVE INTENT -**
12 **REPORT.**

- 13 1. Subject to the provisions of this section, the state historical society may borrow up to
14 \$20,000,000 through a line of credit from the Bank of North Dakota during the period
15 beginning with the effective date of this Act, and ending June 30, 2027, the proceeds
16 of which are appropriated to the state historical society, for the purpose of the North
17 Dakota military museum project for the period beginning with the effective date of this
18 Act, and ending June 30, 2027. The appropriation in this section is considered a
19 one-time funding item.
- 20 2. The interest rate on the line of credit may not exceed the prevailing interest rate
21 charged to North Dakota governmental entities. If the state historical society accesses
22 the line of credit, the state historical society shall repay the line of credit from other

funds derived from donations appropriated by the sixty-ninth legislative assembly to the state historical society in House Bill No. 1018. If the amount of donations collected through March 31, 2029, is not sufficient to repay the line of credit and accrued interest, the seventy-first legislative assembly shall consider extending the line of credit or evaluate available funding sources for repayment of the line of credit. The state historical society may not access the line of credit until funding appropriated by the sixty-ninth legislative assembly from the strategic investment and improvements fund in House Bill No. 1018 has been spent.

3. The capital grounds planning commission shall:

- a. Oversee and have final decisionmaking authority regarding the North Dakota military museum project;
- b. Collaborate with the state historical society and adjutant general on the project; and
- c. Use the office of management and budget for construction management of the project.

4. It is the intent of the sixty-ninth legislative assembly that the state of North Dakota provide total state funding of \$39,200,000, which includes funding appropriated from the strategic investment and improvements fund for the repayment of a \$4,200,000 Bank of North Dakota line of credit, the repayment of a \$20,000,000 Bank of North Dakota line of credit, and \$15,000,000 appropriated from the strategic investment and improvements fund, plus any additional funding necessary to pay interest accrued on the \$20,000,000 Bank of North Dakota line of credit, related to the North Dakota military museum project and that any remaining costs associated with the project be paid by nonstate sources derived from donations. It is further the intent of the sixty-ninth legislative assembly that the capitol grounds planning commission and the state historical society prioritize construction that supports completion of the exterior of the military museum building to avoid any additional costs incurred due to inclement weather and that no work related to galleries and displays in the interior of the military museum building be performed without consent of the capitol grounds planning commission.

- 1 5. The state historical society shall report to the budget section on a quarterly basis
2 during the 2027-28 interim information regarding the North Dakota military museum
3 project, including the status of construction, amounts spent by funding source, the
4 amount drawn on all lines of credit authorized for the project, signed pledge
5 commitments, collected cash, proposed gifts being discussed but not yet committed,
6 and the anticipated project completion date.

7 **SECTION 2. AMENDMENT.** Section 55-01-02.1 of the North Dakota Century Code is
8 amended and reenacted as follows:

9 **55-01-02.1. Society to have jurisdiction over heritage center.**

- 10 1. The society has jurisdiction over the administration and operations of the North Dakota
11 heritage center building. The director of the office of management and budget is
12 responsible for maintenance of the heritage center building.
- 13 2. The society, in consultation with the adjutant general, is responsible for all public
14 displays, signage, and museum content for the North Dakota military gallerymuseum
15 within the North Dakota heritage center building. The society and the adjutant general
16 shall enter a memorandum of agreement to establish policies on public displays,
17 signage, and museum content for the military gallerymuseum. The regimental room of
18 the military gallerymuseum must be named the North Dakota national guard
19 regimental room. The society may name other rooms, displays, galleries, and areas of
20 the military museum but may not authorize donor naming rights for any part of the
21 military museum without prior approval from the emergency commission and budget
22 section.
- 23 3. The society shall maintain the collections displayed and stored at the heritage center
24 and shall provide, or arrange, for the security of those collections.
- 25 4. The society shall establish a policy that authorizes the consumption of alcoholic
26 beverages, including distilled spirits as defined in section 5-01-01, at the heritage
27 center during an event that is open only to invited guests and if the alcoholic
28 beverages are dispensed by a qualified alcoholic beverage licensee.

29 **SECTION 3. REPEAL.** Subsection 3 of section 6 of chapter 17 of the 2025 Session Laws is
30 repealed.

- 1 **SECTION 4. EFFECTIVE DATE.** This Act becomes effective immediately upon its filing with
- 2 the secretary of state.